

the part of the investor that the company will expand in the future, what *price* is he justified in paying for this attractive element? Obviously, if he can get a good future for *nothing*, *i.e.*, if the price reflects only the past record, he is making a sound investment. But this is not the case, of course, *if the market itself is counting on future growth*. Characteristically, stocks thought to have good prospects sell at relatively high prices. How can the investor tell whether or not the price is *too* high? We think that there is no good answer to this question—in fact we are inclined to think that even if one knew for a certainty just what a company is fated to earn over a long period of years, it would still be impossible to tell what is a fair price to pay for it today. It follows that *once the investor pays a substantial amount for the growth factor*, he is inevitably assuming certain kinds of risk; *viz.*, that the growth will be less than he anticipates, that over the long pull he will have paid too much for what he gets, that for a considerable period the market will value the stock less optimistically than he does.

On the other hand, assume that the investor strives to avoid paying a high premium for future prospects by choosing companies about which he is personally optimistic, although they are not favorites of the stock market. No doubt this is the type of judgment that, if sound, will prove most remunerative. But, by the very nature of the case, it must represent the activity of strong-minded and daring individuals rather than investment in accordance with accepted rules and standards.²

May Such Purchases Be Described as Investment Commitments? This has been a longish discussion because the subject is important and not too well comprehended in Wall Street. Our emphasis has been laid more on the pitfalls of investing for future growth than on its advantages. But we repeat that this method may be followed successfully if it is pursued with skill, intelligence and diligent study. If so, is it appropriate to call such purchases by the name of “investment”? Our answer is “yes,” provided that two factors are present: the first, already mentioned, that the elements affecting the future are examined with real care and a wholesome scepticism, rather than

² The “expanding-industry” criterion of common-stock investment is vigorously championed in an arresting book *The Ebb and Flow of Investment Values*, New York, 1939, by Edward S. Mead and J. Grodinsky. For a consideration of their views in some detail see Appendix Note 71.